



FEDERAL RETIREMENT THRIFT INVESTMENT BOARD
77 K Street NE, Washington, DC 20002

MEMORANDUM FOR BOARD MEMBERS

GERBER, BILYEU, BRIDGES,
AND OLIVARES

FROM: Mike Jerue, Chief Investment Officer
DATE: April 28, 2026
SUBJECT: March 2026 Investment Program Review

INTRODUCTION

This report reviews key aspects of the TSP's investment program, including performance, benchmark differences, interfund transfer activity, and participant allocations.

RETURNS AND BENCHMARK DIFFERENCES

The tables below contain the monthly and year-to-date (YTD) returns and benchmark differences for the F, C, S, and I Funds and for the separate accounts managed by BlackRock and State Street. Due to rounding, the benchmark differences may not match the differences in displayed returns.

March 2026 Returns and Benchmark Differences

		<u>Fixed Income</u> <u>(F Fund)</u>	<u>Large Cap</u> <u>(C Fund)</u>	<u>Small Mid Cap</u> <u>(S Fund)</u>	<u>International</u> <u>(I Fund)</u>
Return	Index	-1.76%	-4.98%	-4.59%	-11.11%
	BlackRock	-1.76%	-4.98%	-4.58%	-9.32%
	State Street	-1.77%	-4.98%	-4.56%	-9.42%
	TSP Fund (Net)	-1.77%	-4.98%	-4.58%	-9.35%
Benchmark Difference	BlackRock	0.00%	0.00%	0.01%	1.78%
	State Street	-0.01%	0.00%	0.02%	1.68%
	TSP Fund	0.00%	0.00%	0.01%	1.76%

BlackRock's performance for the F, C, and S Funds was in line with the Funds' respective indices for the month. Its performance for the I Fund exceeded the International Index by 178 basis points, primarily due to fair value pricing.

State Street's performance for the F, C, and S Funds was in line with the Funds' respective indices for the month. Its performance for the I Fund exceeded the International Index by 168 basis points, primarily due to fair value pricing.

2026 YTD Returns and Benchmark Differences

		<u>Fixed Income</u>	<u>Large Cap</u>	<u>Small Mid Cap</u>	<u>International</u>
		<u>(F Fund)</u>	<u>(C Fund)</u>	<u>(S Fund)</u>	<u>(I Fund)</u>
Return	Index	-0.05%	-4.33%	-1.28%	-0.08%
	BlackRock	0.04%	-4.33%	-1.22%	1.87%
	State Street	0.06%	-4.33%	-1.21%	1.78%
	TSP Fund (Net)	0.04%	-4.34%	-1.22%	1.84%
Benchmark Difference	BlackRock	0.09%	0.00%	0.05%	1.94%
	State Street	0.11%	0.00%	0.07%	1.86%
	TSP Fund	0.09%	0.00%	0.05%	1.92%

Year-to-date, BlackRock's performance for the F Fund was ahead of the Fixed Income Index by 9 basis points, primarily due to a difference in the timing of pricing by the index provider and by BlackRock on the last trading day of December 2025. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, BlackRock was ahead of the Small Mid Cap Index by 5 basis points, primarily due to securities lending. Its performance for the I Fund exceeded the International Index by 194 basis points, primarily due to fair value pricing.

Year-to-date, State Street's performance for the F Fund was ahead of the Fixed Income Index by 11 basis points, primarily due to a difference in the timing of pricing by the index provider and by State Street on the last trading day of December 2025. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, State Street was ahead of the Small Mid Cap Index by 7 basis points, primarily due to securities sampling. Its performance for the I Fund exceeded the International Index by 186 basis points, primarily due to fair value pricing.

Annualized Net Returns as of March 31, 2026

	1-Year	3-Year	5-Year	10-Year
G Fund	4.36%	4.38%	3.64%	2.82%

	1-Year	3-Year	5-Year	10-Year
F Fund	4.35%	3.61%	0.39%	1.79%
Bloomberg US Agg Bond Index	4.35%	3.63%	0.31%	1.70%
Benchmark Difference	0.00%	-0.02%	0.08%	0.10%

	1-Year	3-Year	5-Year	10-Year
C Fund	17.78%	18.28%	12.03%	14.13%
S&P 500 Index	17.80%	18.32%	12.06%	14.16%
Benchmark Difference	-0.02%	-0.04%	-0.03%	-0.03%

	1-Year	3-Year	5-Year	10-Year
S Fund	20.81%	15.05%	4.40%	10.98%
Dow Jones US Completion TSM Index	20.70%	14.91%	4.22%	10.83%
Benchmark Difference	0.11%	0.14%	0.17%	0.15%

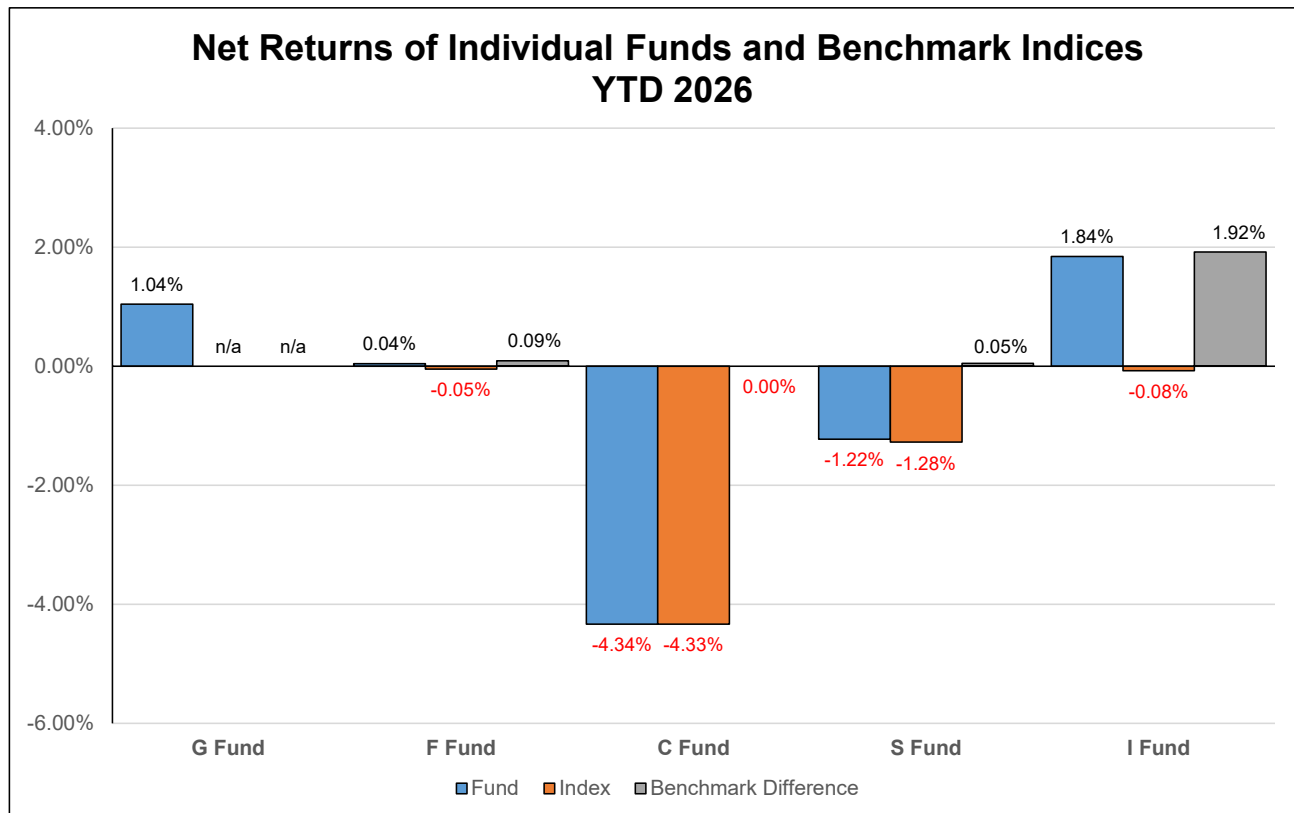
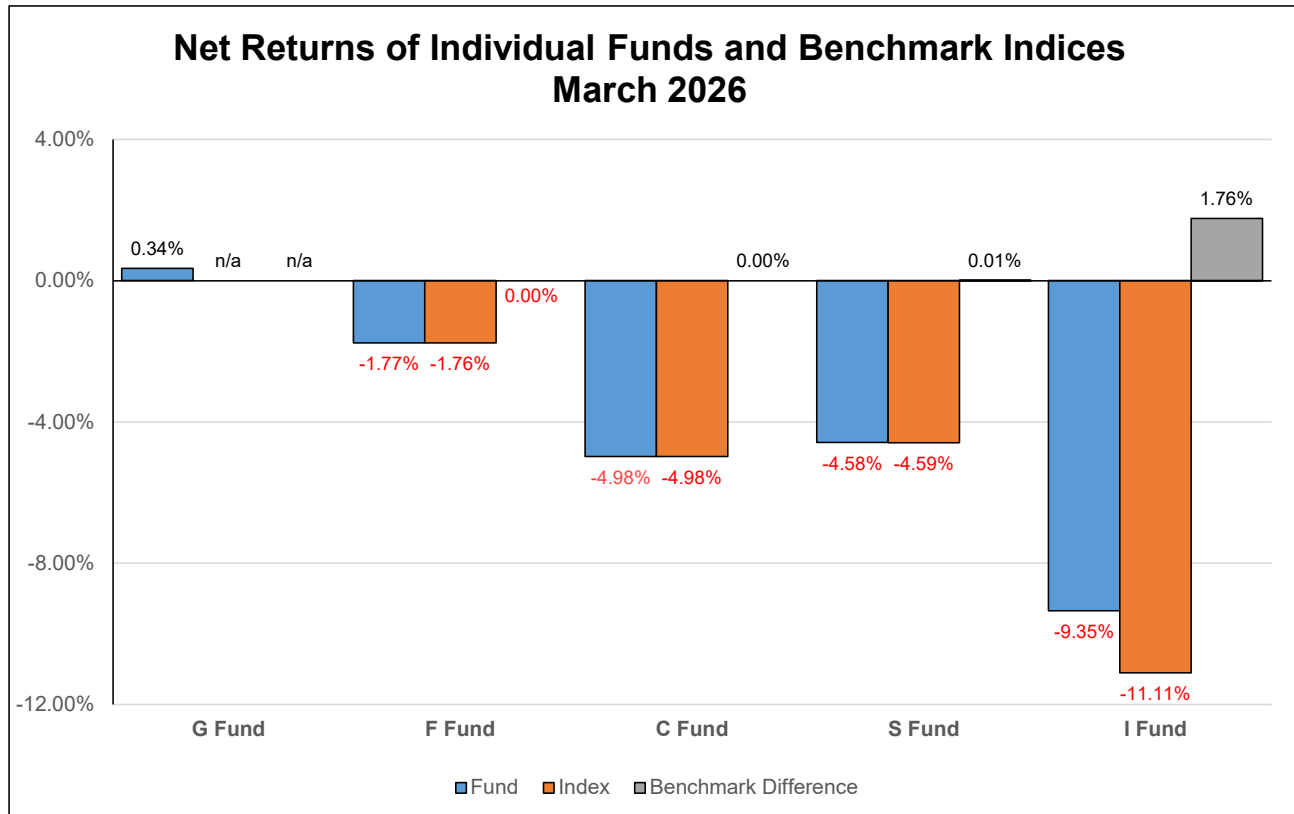
	1-Year	3-Year	5-Year	10-Year
I Fund	28.90%	15.30%	9.06%	9.15%
International Index*	27.11%	14.43%	8.37%	8.61%
Benchmark Difference	1.80%	0.87%	0.68%	0.54%

* MSCI EAFE through July 31, 2024; MSCI ACWI IMI ex USA ex China ex Hong Kong thereafter.

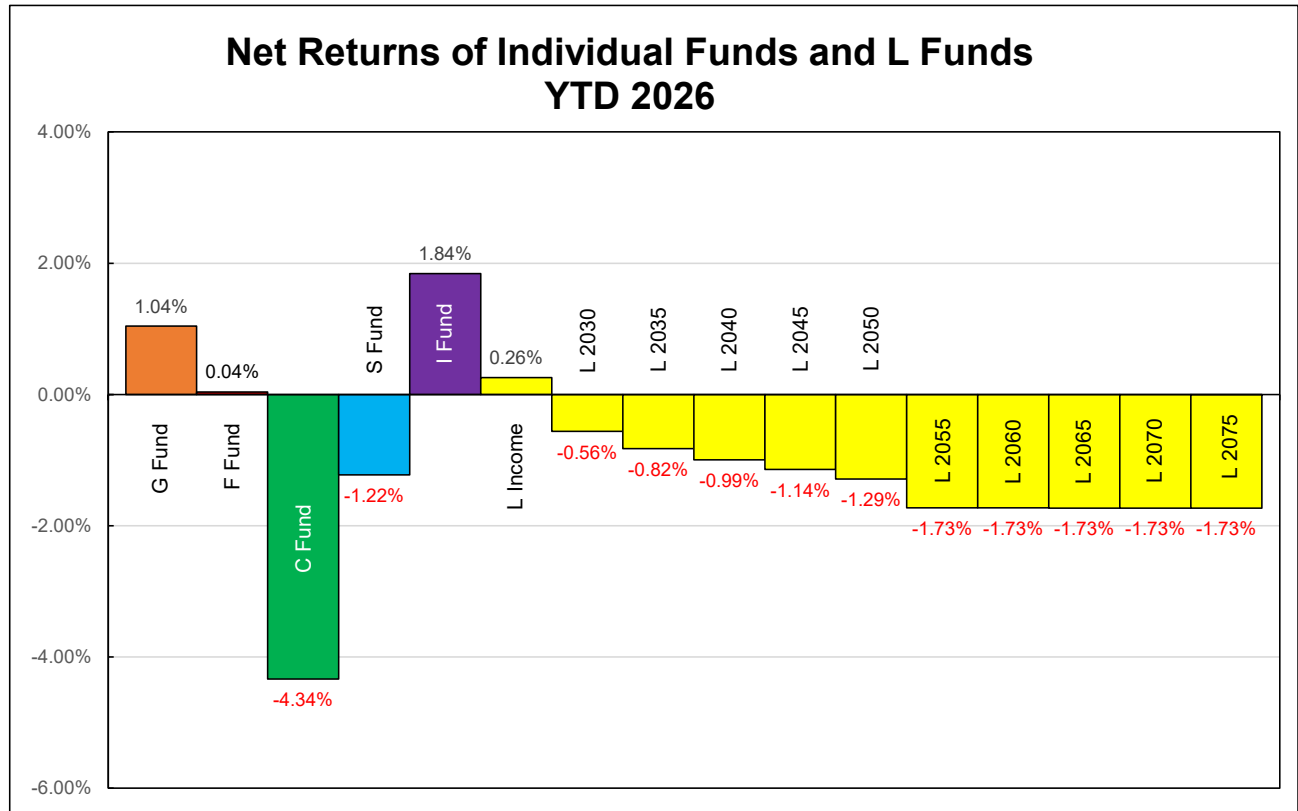
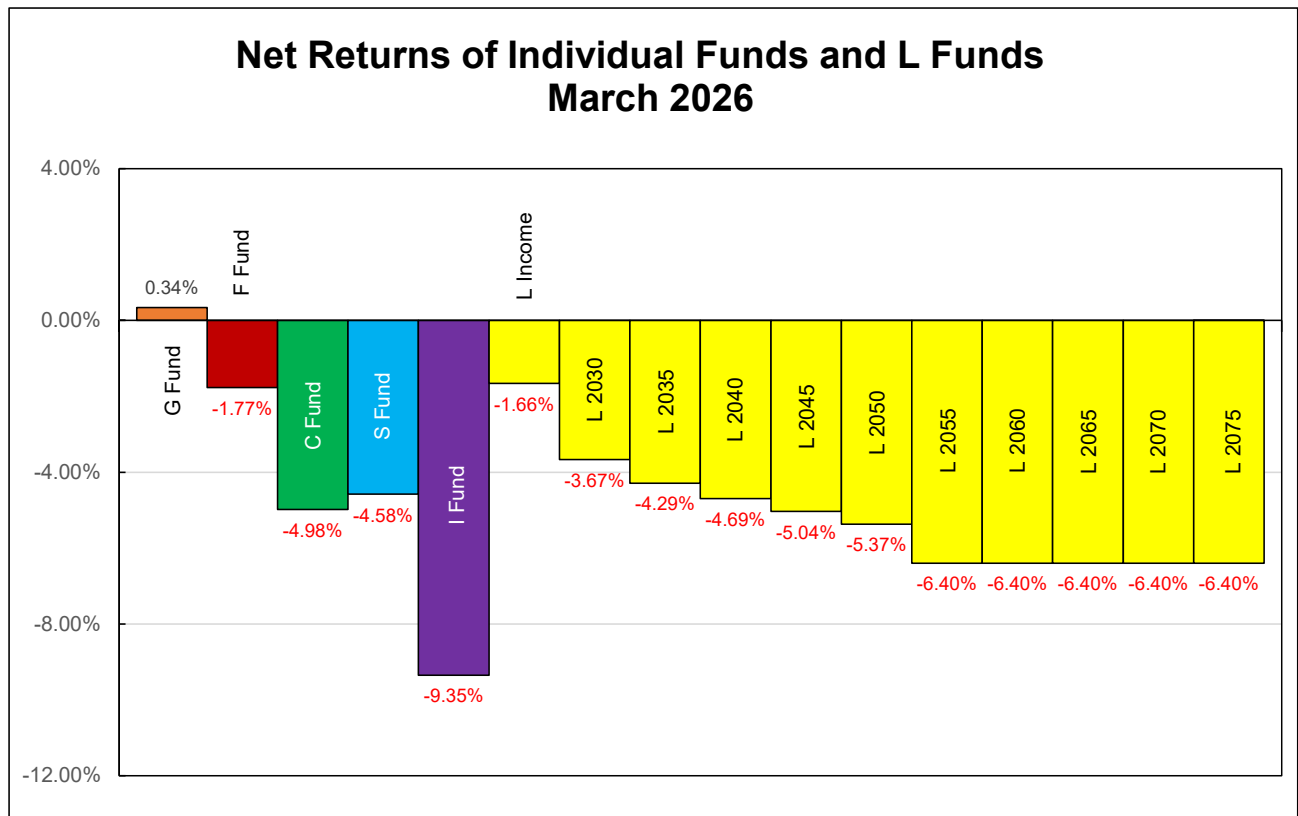
	Inception Date	1-Year	3-Year	5-Year	10-Year
L Income Fund	August 1, 2005	9.14%	7.68%	5.39%	5.07%
L 2030 Fund	August 1, 2005	15.14%	12.02%	7.62%	8.67%
L 2035 Fund	July 1, 2020	16.12%	12.72%	7.93%	N/A
L 2040 Fund	August 1, 2005	17.16%	13.44%	8.26%	9.68%
L 2045 Fund	July 1, 2020	18.04%	14.05%	8.51%	N/A
L 2050 Fund	January 31, 2011	18.93%	14.66%	8.79%	10.55%
L 2055 Fund	July 1, 2020	21.98%	16.84%	9.98%	N/A
L 2060 Fund	July 1, 2020	21.98%	16.84%	9.97%	N/A
L 2065 Fund	July 1, 2020	21.98%	16.83%	9.97%	N/A
L 2070 Fund	July 26, 2024	21.98%	N/A	N/A	N/A
L 2075 Fund	June 30, 2025	N/A	N/A	N/A	N/A

Performance of TSP Funds

The charts below show the G, F, C, S, and I Fund net rates of return vs. their respective benchmark indices.

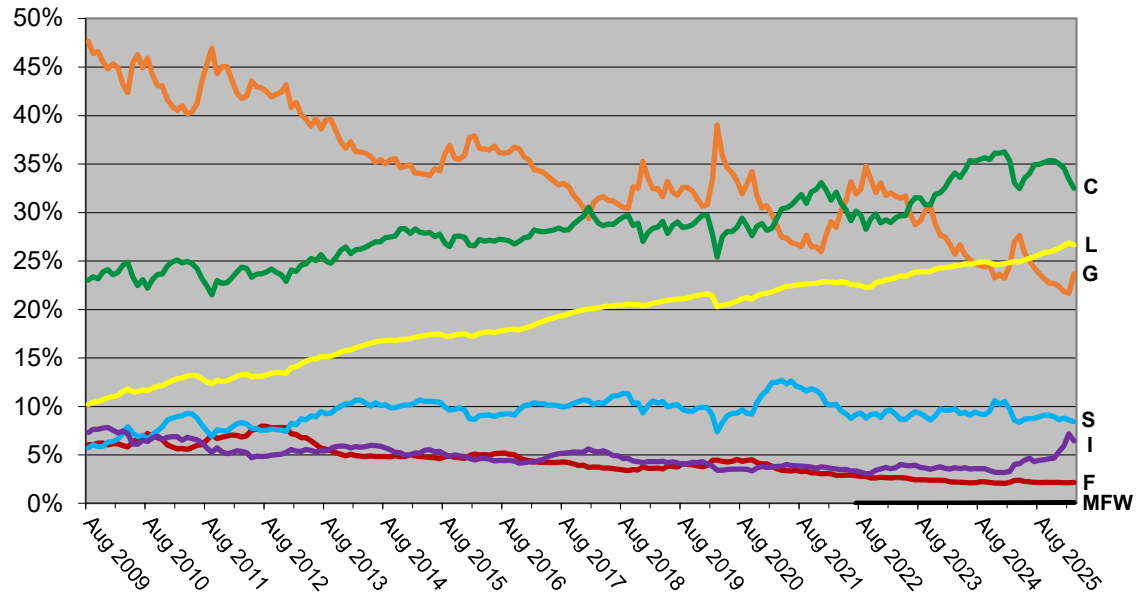


Net rates of return for the L Funds are shown below, along with comparable returns for the G, F, C, S, and I Funds.



Asset Allocation

Participant Asset Allocation History as of March 31, 2026

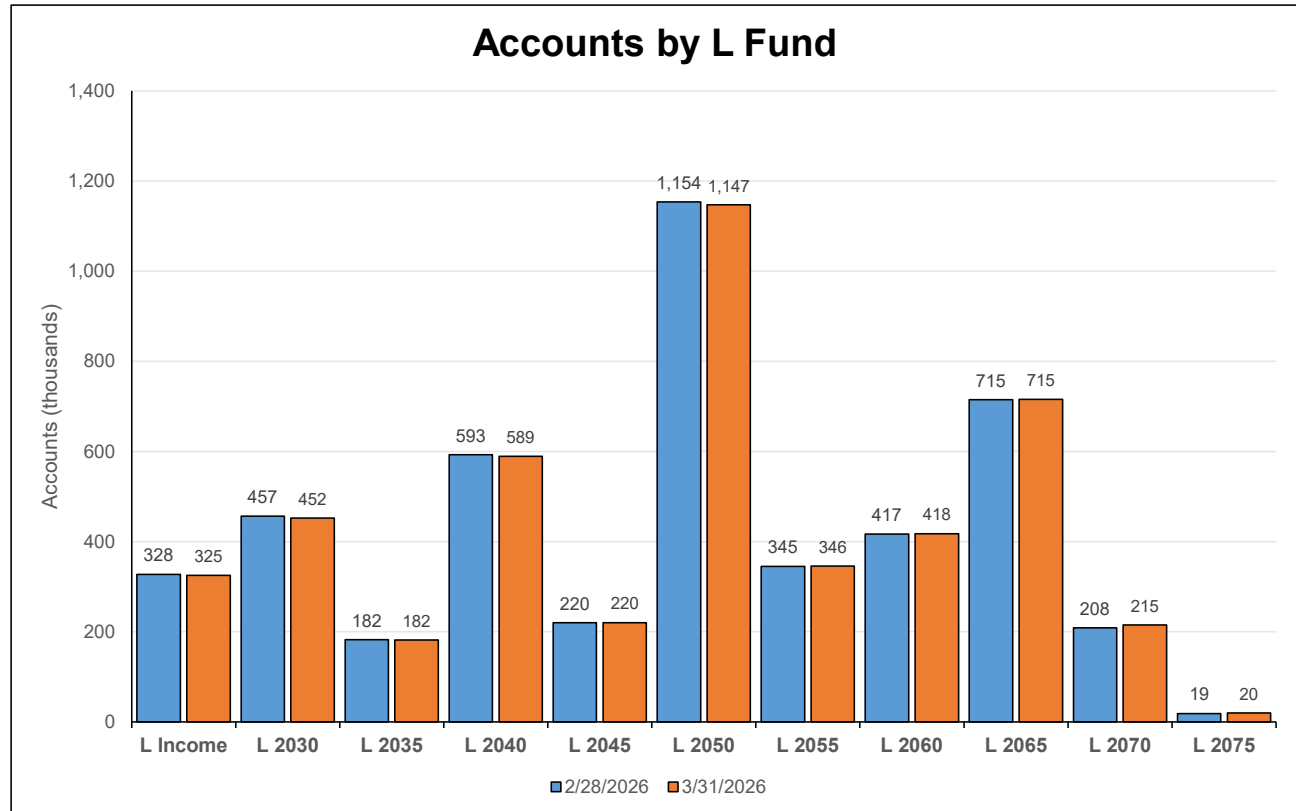
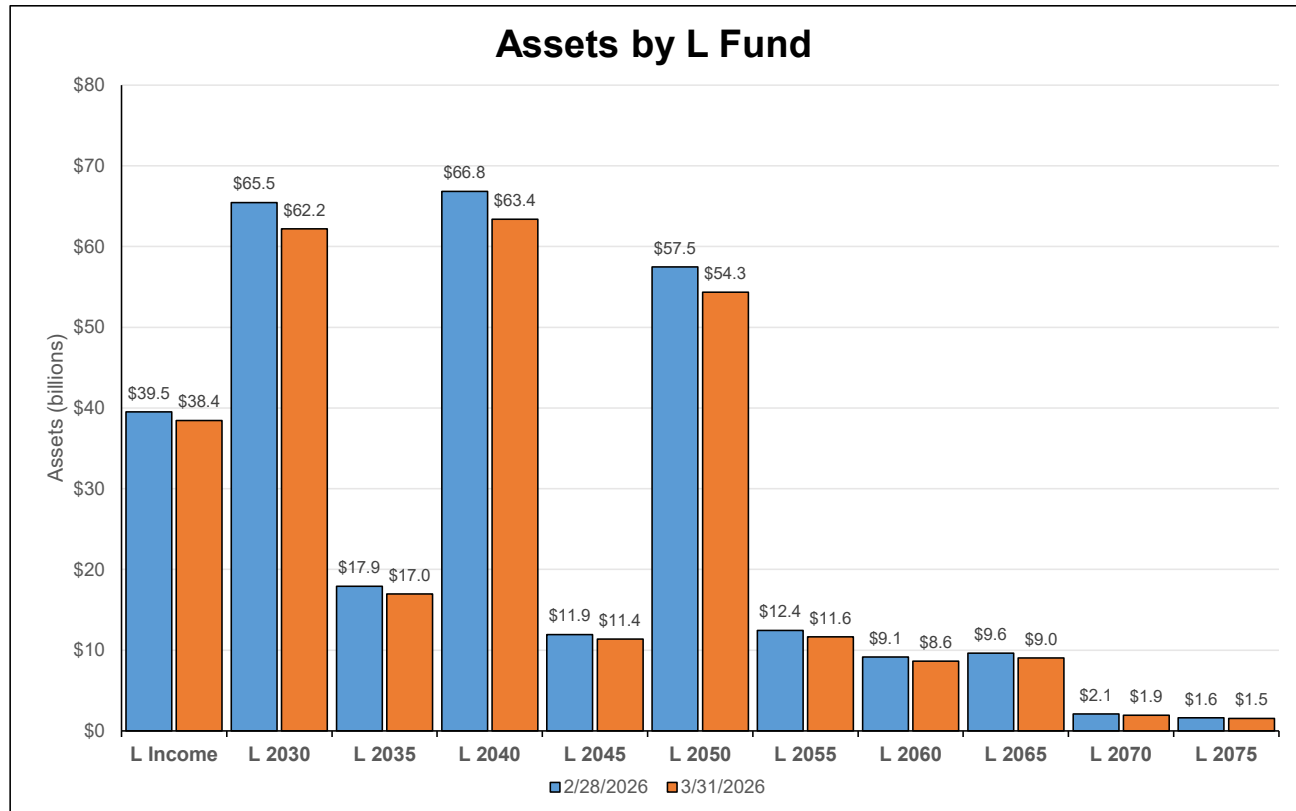


Asset Allocation as of March 31, 2026

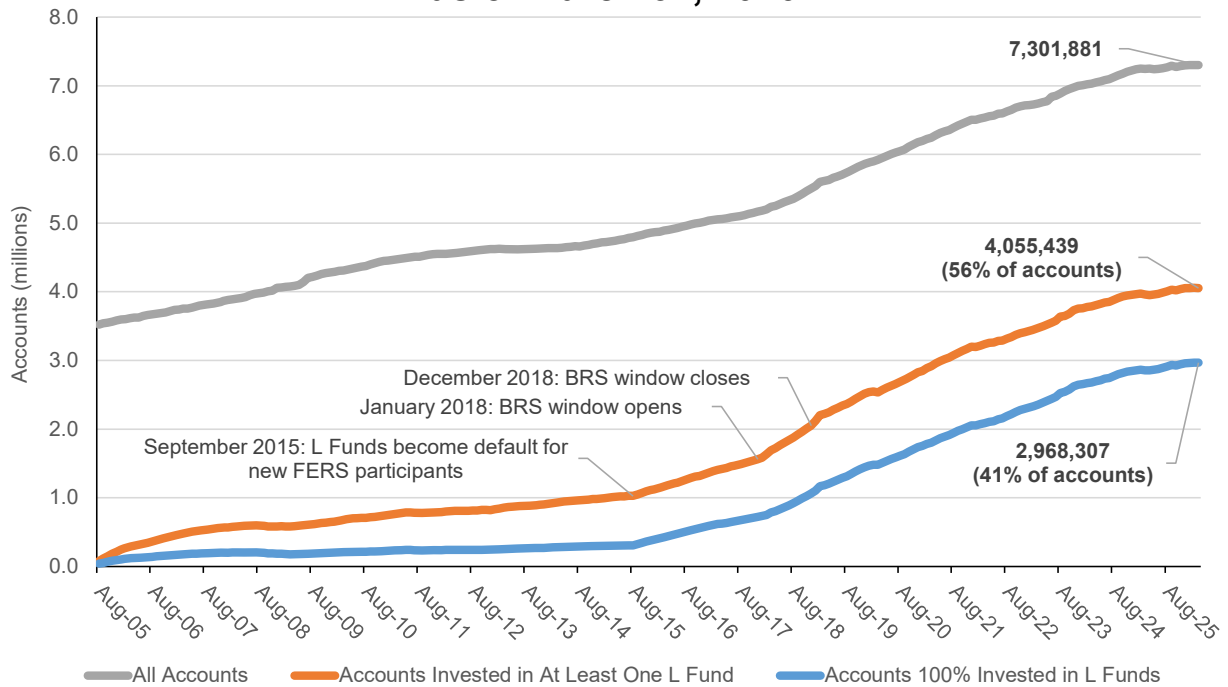
	<u>Participant Allocation</u>		<u>Individual TSP Funds</u>	
	<u>Assets</u> (Billions)	<u>Share of</u> <u>Total</u>	<u>Assets</u> (Billions)	<u>Share of</u> <u>Total</u>
G Fund	\$248.4	23.7%	\$323.5	30.9%
F Fund	\$22.9	2.2%	\$38.3	3.7%
C Fund	\$340.6	32.5%	\$439.0	41.9%
S Fund	\$88.5	8.4%	\$113.3	10.8%
I Fund	\$67.8	6.5%	\$133.6	12.7%
L Funds	\$279.5	26.7%	n/a	n/a
<u>MFW</u>	<u>\$0.8</u>	<u>0.1%</u>	<u>\$0.8</u>	<u>0.1%</u>
Total	\$1,048.5	100.0%	\$1,048.5	100.0%

*Components may not sum to totals due to rounding.

Lifecycle (L) Funds

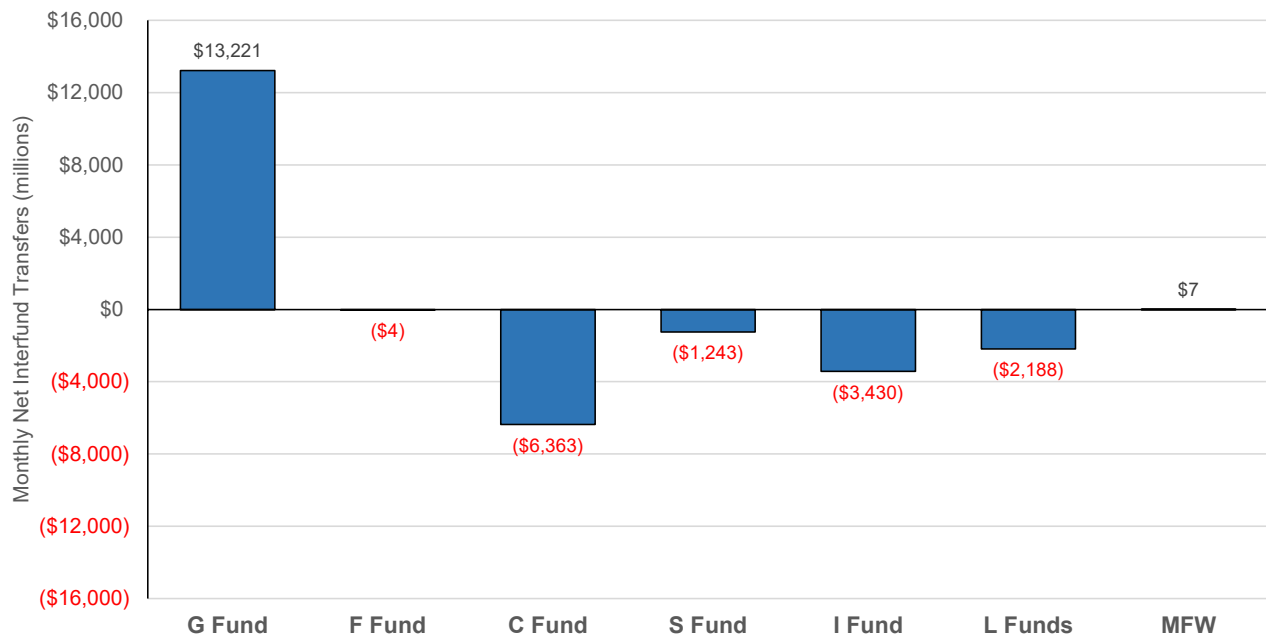


Participation History of the L Funds as of March 31, 2026



Interfund Transfer Activity

Monthly Net Interfund Transfers March 2026



*Values may not sum to zero due to rounding.

PROXY VOTING – FOURTH QUARTER 2025

An audit of BlackRock's proxy voting conducted by ISS found no exceptions to BlackRock's established guidelines during the fourth quarter of 2025. An audit of State Street's proxy voting conducted by ISS found no exceptions to State Street's established guidelines during the fourth quarter of 2025.

Copies of the audit reports are provided in this report as Attachments 1 and 2. The ISS audit reports for the first quarter of 2026 are not yet available.

CLASS ACTION SETTLEMENTS – FOURTH QUARTER 2025

BlackRock began the fourth quarter with 92 open claims. During the quarter, 30 claims were opened: one claim in the F Fund, three in the C Fund, twenty-five in the S Fund, and one in the I Fund. Thirteen claims were closed during the quarter. Nine claims in the S Fund were settled for a total of \$1,376,988. Two claims in the C Fund and two claims in the S Fund were closed due to administrator action. Residual payments from previously closed claims yielded \$36,967 for the C Fund and \$47,343 for the S Fund. Total proceeds for the quarter were \$1,461,298. BlackRock ended the quarter with 109 open claims.

	<u>Open at Start of Quarter</u>	<u>Opened During Quarter</u>	<u>Closed During Quarter</u>	<u>Open Claims Outstanding</u>	<u>Total of Settled Claims in 2025</u>
F Fund	3	1	-	4	\$17,717
C Fund	21	3	2	22	\$2,158,214
S Fund	64	25	11	78	\$6,791,950
I Fund	4	1	-	5	\$288,804
Total	92	30	13	109	\$9,256,685

State Street began the fourth quarter with 48 open claims. During the quarter, 22 claims were opened: two in the C Fund and 22 in the S Fund. Twelve claims in the S Fund were settled for a total of \$271,604. One claim in the C Fund and one claim in the I Fund were closed due to administrator action. State Street ended the quarter with 58 open claims.

	<u>Open at Start of Quarter</u>	<u>Opened During Quarter</u>	<u>Closed During Quarter</u>	<u>Open Claims Outstanding</u>	<u>Total of Settled Claims in 2025</u>
F Fund	-	-	-	-	\$0
C Fund	4	2	1	5	\$44,913
S Fund	41	22	12	51	\$1,264,544
I Fund	3	-	1	2	\$0
Total	48	24	14	58	\$1,309,457

ATTACHMENTS

Attachment 1: Audit Report on BlackRock's Proxy Voting in the Fourth Quarter of 2025
Attachment 2: Audit Report on State Street's Proxy Voting in the Fourth Quarter of 2025



January 30, 2026

Ms. Tanya Levy-Odom
Managing Director
BlackRock Investment Stewardship
BlackRock
50 Hudson Yards
New York, NY 10001

Dear Tanya,

Enclosed are the results of our review of US proxy votes by BlackRock for the 4th quarter of 2025. Our review found that there were no exceptions to policy over this period.

Best regards,

 Recoverable Signature

 Andrew E. Linberg

Signed by: S-1-12-1-843232420-1216194982-1438749579-676836840/16fe4325-ce1b-4a55-a694-dece99c9ecd3/

Andrew E. Linberg
Head of Custom Research – Americas

INSTITUTIONAL SHAREHOLDER SERVICES INC.

702 King Farm Boulevard Suite 400
Rockville, MD 20850

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MEMORANDUM

The results of our review of BlackRock's 4th quarter proxy voting for US meetings are as follows:

- Votes at 45 meetings were examined.
- Votes at 13 of the 45 meetings were for directors, auditors, and/or management say-on-pay (MSOP) only.
- At the 32 remaining meetings, there were 55 non-director/auditor/MSOP proposals.

The following table illustrates the votes involved by proposal type:

Proposal	Votes
Executive stock plan	7
Employee share purchase plan	2
Advisory vote on golden parachute compensation	4
Frequency vote on MSOP	5
Approve repricing of options	1
Reverse stock split	1
Issue shares for private placement	1
Approve issuance of common stock upon conversion of notes/exercise of warrants	4
Approve increase in common stock	3
Approve issuance of shares pursuant to an acquisition	2
Approve merger agreement	6
Approve NOL plan	1
Change state of incorporation	1
Adjourn meeting	14
Fix number of directors	1
Other business	2
Total:	55

INSTITUTIONAL SHAREHOLDER SERVICES INC.

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Rockville, MD 20850

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- There were 7 votes cast on an executive stock plan:
 - a) 5 votes were cast in favor of the plans (71.4 percent);
 - b) 2 votes were cast against the plans (28.6 percent) due to the presence of an evergreen provision.
- There were 2 votes cast on employee share purchase plans; the votes were cast in favor of the plans.
- There were 3 votes cast on increases in authorized common stock; the votes were cast in favor of the increases.
- There were 8 votes cast on mergers, acquisitions, and/or major corporate transactions, including 2 issuances of shares pursuant to a merger:
 - a) 7 votes were cast in favor of the transactions (87.5 percent);
 - b) 1 vote was cast against the transactions (12.5 percent)
- There were 19 votes cast on management advisory votes on executive compensation:
 - a) 18 votes were cast in favor of the advisory votes (94.7 percent);
 - b) 1 vote was cast against the advisory votes (5.3 percent)
- There were 4 votes cast on management advisory votes on golden parachute compensation; the votes were cast in favor of the advisory votes.

There were no exceptions to policy this period.



February 4, 2025

Mr. Benjamin Colton
Global Co-Head of Asset Stewardship
State Street Global Advisors
State Street Financial Center
One Iron Street
Boston, MA 02210

Dear Benjamin,

The Custom Research team has completed its Q4 2025 audit of SSgA vote recommendations. We examined 25 US and International meetings, containing a total of 191 agenda items. In reviewing these items against the SSgA policy document, we identified zero (0) errors in the application of SSgA's policy (for an overall error rate of 0%).

Please feel free to contact us should you have any questions.

Sincerely,

Adam Lee

Adam Lee
Executive Director, Custom Research